NDTax
NORTH DAKOTA
Brian Kroshus, Tax Commissioner

NORTH DAKOTA FUEL TAX RATES - SPECIAL FUEL TAXES ON SALES TO CONSUMERS

The following applies to all special fuels, both dyed and undyed, including but not limited to diesel, biodiesel, kerosene, and liquefied petroleum.

Customer	Fuel Type	State Tax Charged	Tribal Tax Charged	State Remarks
Federal Government	Dyed Clear	No No		Tax Charged erroneously and paid for directly by a Federal Agency is refundable; does not apply to fuel paid for by Government contractors.
State and Local Governments				
*Qualified non-licensed equipment use.	Dyed	Yes - $0.04		
Licensed vehicles used for road construction and road maintenance purposes **only**.	Dyed	Yes - $0.04		
Licensed vehicles other than those used for road construction and road maintenance purposes **only**.	Clear	Yes - $0.23		Must use clear fuel only.
Native Americans on a reservation without a motor fuels agreement in place				
Bulk sales delivered to enrolled member	Dyed Clear	No No		Deliveries on the reservation are tax free only to enrolled members.
Retail sales	Clear	Yes - $0.23		Refund available to enrolled members for purchases on reservation.
Native Americans on a reservation with a motor fuels agreement in place				Provides sharing of tax by State and Tribe based on percent of enrolled members according to census data.
Bulk sales delivered to enrolled member	Dyed	No	No	
	Clear	No	Yes - $0.23	Deliveries on the reservation are tax free only to enrolled members.
Bulk sales to non-Native Americans and non-enrolled members.	Dyed Clear	Yes - $0.04 Yes - $0.23	No No	
Retail sales	Clear	No	Yes - $0.23	
Consumers for use in licensed vehicles	Clear	Yes - $0.23		Clear fuel use required.
School buses and municipal transit systems	Clear	Yes - $0.23		Clear fuel use required.
Agricultural and Industrial use	Dyed Clear	Yes - $0.04 Yes - $0.23		*Qualified non-licensed equipment or machinery can use dyed fuel.
Emergency Medical Services (EMS)	Clear	Yes - $0.23		Full refund available.
Refrigeration unit/reefer	Dyed Clear	Yes - $0.04 Yes - $0.23		Refund of $0.19 available for clear fuel use.
Railroads - Locomotives	Dyed Clear	Yes - $0.04 Yes - $0.23		
****Heating fuel***	Dyed	No		
Kerosene				
Used in licensed vehicles	Clear	Yes - $0.23		Must use clear fuel.
*Heating fuel	Dyed Clear	No No		
Liquefied Petroleum Gas (LP)				
Use in licensed vehicles		Yes - $0.23		
*Heating fuel		No		
*Qualified non-licensed equipment		Yes - 2%		Percent of sales price exclusive of tax.

Notes for table above:

*Heating fuel: Includes dyed diesel, kerosene, LP, or waste oil used for the heating of a building or other structure. Does not include fuel used for an agricultural purpose such as grain dryers or for an industrial purpose such as an asphalt plant or use in a fracturing process.

*Qualified non-licensed vehicle: Includes agricultural, construction, or other industrial equipment or machinery not required to be licensed. Does not include vehicles for which a required license has not been obtained.

Motor Vehicle Fuel Taxes on Sales to Consumers

Applies to all motor vehicle fuels including but not limited to gasoline, gasohol, E-85.

Customer	State Tax Charged	Tribal Tax Charged	State Remarks
Federal Government	No		Tax charged erroneously and paid for directly by a Federal Agency is refundable; does not apply to fuel paid for by Government contractors.
State and Local Governments	Yes - $0.23		Refund available for use in qualified non-licensed equipment or for use in licensed vehicles used for road construction and road maintenance.
Native Americans on a reservation without a motor fuels agreement in place			
Bulk sales delivered to enrolled member	No		Deliveries on the reservation are tax free only to enrolled members.
Retail sales	Yes - $0.23		Refund available to enrolled members for purchases on the reservation.
Native Americans on a reservation with a motor fuels agreement in place			Provides sharing of tax by State and Tribe based on percent of enrolled members according to census data.
Bulk sales delivered to enrolled member	No	Yes - $0.23	
Bulk sales to non-Native Americans and non-enrolled members	Yes - $0.23	No	
Retail sales	No	Yes - $0.23	
Consumers for use in licensed vehicles	Yes - $0.23		
School buses and municipal transit systems	Yes - $0.23		
Agricultural and Industrial use	Yes - $0.23		Partial refund available for use in *qualified non-licensed equipment or machinery.
Emergency Medical Services (EMS	Yes - $0.23		Full refund available
****Recreational use***	Yes - $0.23		

Notes for table above:

*Qualified non-licensed vehicle: Includes agricultural, construction, or other industrial equipment or machinery not required to be licensed. Does not include vehicles for which a required license has not been obtained.

*Recreational use: Includes fuel used in such vehicles as boats, race cars, go carts, golf carts, all terrain vehicles, snowmobiles, etc.

Aviation Fuel Taxes on Sales to Consumers

Includes jet fuel, aviation gasoline, and regular gasoline used in aircraft.

Customer	State Tax Charged	State Remarks
Federal Government	No	Tax charged erroneously and paid for directly by a Federal Agency is refundable; does not apply to fuel paid for by Government contractors.
State and Local Governments	Yes - $0.08	
Air carriers and private aircraft	Yes - $0.08	
Agricultural and industrial aircraft	Yes - $0.08	Refund with 4% excise tax offset available; not applicable if fuel price is over $2.00 per gallon excluding tax.
Emergency Medical Services (EMS)	Yes - $0.08	Full refund available.

Motor Fuel tax forms and instructions are available on the North Dakota Office of State Tax Commissioner's official website at **tax.nd.gov/MotorFuel**. For assistance email **fueltax@nd.gov** or call 701-328-2702.